Protection Jatinder Suri vs State Govt. Of Nct Of Delhi on 13 November, 2025

$~9

* IN THE HIGH COURT OF DELHI AT NEW DELHI

\+ BAIL APPLN. 2820/2025 & CRL.M.A. 26238/2025 INTERIM PROTECTION

JATINDER SURI

Through: Mr
Ms
Vi
an

versus

STATE GOVT. OF NCT OF DELHI .....Respon

Through: Mr. Aashneet Singh, APP with Anju Dahiya, P.S.EOW.
Ms. Nitika Duhan, Adv. for th complainant.

CORAM:

HON'BLE MR. JUSTICE RAVINDER DUDEJA

ORDER

% 13.11.2025

1. The present petition has been filed under Section 482 BNSS [Section 438 Cr.P.C.] seeking grant of anticipatory bail to the petitioner/applicant in FIR No. 0087/2023, registered at PS Economic Offences Wing (EOW) for offences under Sections 406/420/120B IPC.

Factual Background

2. The case of the prosecution is that the complainant- Mr. Rajiv Kumar Gupta was induced between the years 2015 to 2021 by accused persons namely Chander Mohan Sawhney and Priya Sawhney- who were promoters of M/s Harvest Hotels and Serviced Apartments Pvt. Ltd., to invest substantial sums of money in a real estate project known as "Lakeside This is a digitally signed order.

The authenticity of the order can be re-verified from Delhi High Court Order Portal by scanning the QR code shown above. The Order is downloaded from the DHC Server on 14/11/2025 at 23:08:24 Suites" situated at Bangalore. It is alleged that the promoters falsely represented to the complainant that the company had already completed the project, that there were negligible liabilities towards banks, and that the Marriott Group had agreed to operate the serviced apartments. 2.1 The complainant asserts that he was further assured that he would receive rental income of approximately Rs.1-2 lakhs per serviced apartment. Relying upon such representations, the complainant and his family members initially invested about Rs. 3.5 crores for the purchase of seven apartments and subsequently, on similar inducements, invested further amount of Rs. 1 crore for two additional apartments. Though the assured rentals were initially paid, payments allegedly

stopped after September 2017. The complainant states that thereafter the accused persons sought further financial assistance under the pretext of a temporary liquidity crunch and on assurances that the earlier investments would be revived and arrears would be cleared.

2.2 After inquiries made by the complainant, it was discovered that the company was facing insolvency proceedings before the NCLT and that the accused persons had concealed their debts, misrepresented the financial condition of the company and also admitted to having transferred about Rs. 4.5 crores to their son Parag in New York through hawala channels. 2.3 Subsequently, after repeated inducements, the complainant was persuaded to advance an additional amount of Rs. 8.5 crores on the representation that the promoters required immediate funds to enable ARCIL to take over the company's loan. Security cheques were issued under agreements promising repayment within ninety days. These cheques allegedly bounced. Further sums of Rs.40 lakhs and Rs.10 lakhs were also This is a digitally signed order.

The authenticity of the order can be re-verified from Delhi High Court Order Portal by scanning the QR code shown above. The Order is downloaded from the DHC Server on 14/11/2025 at 23:08:24 stated to have been taken from the complainant upon threats that the earlier investment would otherwise sink. It was later on discovered by the complainant that the accused persons had absconded to the United States and had used the funds to invest in their son's real estate business. Hence, the complainant claims that a total amount of approximately Rs.13.5 crores was wrongfully extracted by the accused persons from him on false pretexts. 2.4 The petitioner namely Jatinder Suri, is admittedly the brother-in-law of accused Chander Mohan Sawhney and brother of Mrs. Priya Sawhney. It is the prosecution case that although the petitioner's name does not appear as an accused in the FIR, the investigation has revealed that he was a Director of the accused company from 2015 to 2021, during which the alleged fraudulent transactions took place. The petitioner has been found to be a signatory to several balance sheets and statutory filings of the company, which, according to the investigating agency, contained misrepresentations concerning the financial health of the company and he thereby facilitated the inducement of investments. The investigation further indicates that funds were routed through the bank account of the petitioner's mother-in-law, raising suspicion about his role in the diversion of funds. 2.5 The petitioner received multiple notices under Section 41A Cr.P.C. and joined the investigation on certain occasions. Subsequently, apprehending arrest, the petitioner moved an application seeking anticipatory bail which was dismissed by the Sessions Court vide order dated 19.05.2025 citing lack of jurisdiction. Thereafter, the petitioner moved another application seeking anticipatory bail which was again dismissed by the Sessions Court vide order dated 19.07.2025. Being aggrieved, the applicant has filed the present application.

This is a digitally signed order.

The authenticity of the order can be re-verified from Delhi High Court Order Portal by scanning the QR code shown above. The Order is downloaded from the DHC Server on 14/11/2025 at 23:08:24 Submissions on behalf of the petitioner

3. Learned counsel for the petitioner submits that the petitioner has been falsely implicated and that the FIR contains no specific allegations against him. It is argued that the petitioner was only a paper

Director who was inducted by his brother-in-law, accused Chander Mohan Sawhney, solely for the purpose of statutory compliances and that he neither participated in the business of the company nor exercised any financial control. The petitioner asserts that he never operated any bank accounts of the company, was not a signatory to any cheque, and had no communication or interaction with the complainant at any point. It is submitted that all dealings were exclusively between the complainant and accused Nos. 1 and 2. According to the petitioner, he never visited Bangalore and was not involved in any part of the project. Counsel argues that the petitioner has joined the investigation on every occasion and supplied all personal bank records, and therefore custodial interrogation is wholly unnecessary in a matter where all evidence is documentary.

3.1 Learned counsel further argues that the police have filed status reports based on conjectures and assumptions, and that even the alleged financial deposits in the account of the petitioner's mother-in-law were independent transactions between accused Nos. 1 and 2 and their own mother, and that the petitioner had no role in such dealings. The petitioner asserts that he is a senior citizen with clean antecedents, is a permanent resident of Patiala for the past forty years, and poses no flight risk. It is thus urged that anticipatory bail ought to be granted.

Submissions on behalf of the State

4. Opposing the bail application, learned APP for the State submits that This is a digitally signed order.

The authenticity of the order can be re-verified from Delhi High Court Order Portal by scanning the QR code shown above. The Order is downloaded from the DHC Server on 14/11/2025 at 23:08:24 the petitioner is not a stranger to the transactions but was an active Director of the company throughout the relevant period. According to the State, the petitioner's signatures appear on crucial statutory documents including balance sheets, annual returns, ROC filings etc., all of which allegedly concealed the true financial position of the company and enabled the inducement of investments from the complainant.

4.1 It is argued that the petitioner cannot now disown his statutory role and that his participation in corporate affairs requires thorough custodial interrogation. Relying on the status report, it is submitted that the petitioner initially failed to disclose details of 44 bank accounts and fixed deposits maintained by him, which demonstrates deliberate non-cooperation. It is further contended that the financial transactions between the petitioner's family members, including through the account of his mother-in-law, are suspicious and form part of the suspected diversion of funds. 4.2 It is further submitted that the applicant had not been fully cooperating with the investigation, and that custodial interrogation may be required to confront him with the allegations, trace the trail of diverted funds and to uncover the conspiracy. It is prayed that the bail application be dismissed.

Analysis and Reasoning

5. I have carefully considered the rival submissions and perused the material on record, including the FIR, status report and documents filed.

6. In the present case, the allegations in the FIR pertain to economic fraud of substantial magnitude, involving investments exceeding Rs.13 crores and allegations of siphoning, cheating, and diversion of funds. The Supreme Court has repeatedly observed that economic offences, due to their This is a digitally signed order.

The authenticity of the order can be re-verified from Delhi High Court Order Portal by scanning the QR code shown above. The Order is downloaded from the DHC Server on 14/11/2025 at 23:08:24 complexity and impact on public confidence, constitute a class apart and warrant a circumspect approach in matters relating to bail. In Y.S. Jagan Mohan Reddy v. CBI, (2013) 7 SCC 439, the Supreme Court reiterated that economic offences involving deep-rooted conspiracies and huge loss to the public exchequer are required to be viewed differently while considering bail applications.

7. In the present case, the petitioner has sought to minimize his role by describing himself as a mere paper Director. However, the material indicates that he served as a Director of the company from 2015 to 2021, the very period during which the complainant alleges continuous inducement, misrepresentation, and diversion of funds. More importantly, the petitioner's signatures appear on multiple balance sheets and statutory filings of the company. These documents are at the heart of the allegations, as they are alleged to have misrepresented the financial position of the company, thereby facilitating the inducements made to the complainant. The mere assertion that he was unaware of the contents of such documents cannot, at this preliminary stage, absolve him of responsibility.

8. Directors have statutory obligations under company law, and the question whether the petitioner knowingly participated in or facilitated the concealment of financial liabilities is a matter that requires thorough investigation and cannot be prematurely decided in anticipatory bail proceedings. In K.K. Ahuja v. V.K. Vora, (2009) 10 SCC 48, the Supreme Court held that a person who signs statutory records cannot later disown responsibility by claiming ignorance of the company's affairs.

9. The investigating agency has also indicated that further scrutiny is required into financial transactions involving the petitioner's relatives, This is a digitally signed order.

The authenticity of the order can be re-verified from Delhi High Court Order Portal by scanning the QR code shown above. The Order is downloaded from the DHC Server on 14/11/2025 at 23:08:24 including deposits made into his mother-in-law's bank account. These allegations raise legitimate concerns about possible involvement of the petitioner in the diversion of funds, and it would not be appropriate at this stage to accept the petitioner's explanation that such transactions were unrelated. The custodial interrogation of the petitioner may be necessary to confront him with documentary evidence, unravel the money trail, and ascertain the extent of his involvement. The Supreme Court in P. Chidambaram v. Directorate of Enforcement, (2019) 9 SCC 24, emphasized that custodial interrogation can be an indispensable tool in complex financial investigations and is qualitatively different from mere questioning a person who is protected by an order of anticipatory

bail.

10. This Court is also mindful of the fact that the principal accused persons namely Chander Mohan Sawhney and Priya Sawhney are stated to be absconding. The petitioner, being a close relative and a Director during the relevant period, cannot be treated as a mere bystander at this stage. As held in Nimmagadda Prasad v. CBI, (2013) 7 SCC 466, economic offences constitute a class apart and need to be visited with a different approach in the matter of bail. The economic offences having deep-rooted conspiracies and involving huge loss of public funds need to be viewed seriously and considered as grave offences affecting the economy of the country as a whole and thereby posing a serious threat to the financial health of the country.

11. The nature of the allegations, the petitioner's position and his signatures on statutory records, the stage of investigation, and the complexity of financial transactions collectively persuade this Court that grant of anticipatory bail at this stage would seriously impede the ongoing This is a digitally signed order.

The authenticity of the order can be re-verified from Delhi High Court Order Portal by scanning the QR code shown above. The Order is downloaded from the DHC Server on 14/11/2025 at 23:08:24 investigation. It is settled law that anticipatory bail is an extraordinary remedy, to be granted only in exceptional circumstances and not where the investigation is incomplete and custodial interrogation appears necessary.

12. The investigation is admittedly at an early stage, and several crucial aspects concerning the flow of funds, the role of various entities, and the participation of different individuals, including the petitioner, are still being examined. Considering the totality of circumstances, this Court is of the opinion that the petitioner has not made out a prima facie case for grant of pre-arrest bail.

13. Accordingly, the present application is dismissed.

14. It is clarified that nothing stated herein shall tantamount to an expression on the merits of the case.

RAVINDER DUDEJA, J NOVEMBER 13, 2025/AK This is a digitally signed order.

The authenticity of the order can be re-verified from Delhi High Court Order Portal by scanning the QR code shown above. The Order is downloaded from the DHC Server on 14/11/2025 at 23:08:24